

25 January 2019

Circular to licensed corporations

Revised financial return

The Securities and Futures (Financial Resources) (Amendment) Rules 2018 were enacted on 12 December 2018 (Note 1) and some amendments which relate to the exclusion of certain lease liabilities from licensed corporations' (LCs) liquid capital calculations came into operation on 1 January 2019. The first return for which LCs will be required to report their liquid capital calculations in accordance with these amendments is for the position ended 31 January 2019.

Form 2 of the financial return is revised to enable LCs to report excluded lease liabilities. The Securities and Futures Commission today published a Gazette notice (Annex) to specify the electronic form of the revised financial return, which is published on the following website. With effect from 1 February 2019, this form supersedes all previous versions and shall be used for a return required to be submitted under section 56 of the Securities and Futures (Financial Resources) Rules.

<https://www.sfc.hk/web/EN/forms/intermediaries/financial-returns.html>

Should you have any questions regarding the contents of this circular, please contact the case officers in charge.

Intermediaries Supervision Department
Intermediaries Division
Securities and Futures Commission

End

SFO/IS/002/2019

Note:

1. On 12 December 2018, the Securities and Futures Commission published a [circular](#) to remind licensed corporations of the effective dates of the new requirements under the Securities and Futures (Financial Resources) (Amendment) Rules 2018.